

DSCR · THE INVESTOR'S GUIDE

The DSCR *Playbook*.

How rental-property loans that qualify on the property's cash flow actually work — the ratio, the pricing, what moves your leverage, and how investors use them to scale. No tax returns required, in all fifty states.

“The property qualifies. Not you.”

1 · What a DSCR loan is

A DSCR loan is a rental-property mortgage underwritten on the property's **Debt-Service Coverage Ratio** — its rent measured against its full monthly payment — instead of your personal income. No tax returns, no W-2s, no personal income verification. If the rent covers the payment at the required ratio, the deal works.

That makes DSCR financing built for three kinds of investors: the **self-employed**, whose tax returns understate real capacity; **portfolio builders**, who would hit debt-to-income walls with conventional loans by property three or four; and **speed buyers**, because a file without income documentation closes faster.

2 · The ratio, the way an underwriter reads it

For 1–4 unit rentals, most programs calculate it exactly like this:

$$\text{DSCR} = \text{monthly rent} \div \text{full monthly payment (PITIA)}$$

PITIA is principal + interest + property taxes + insurance + any HOA dues. A worked example, figures illustrative:

Line	Amount
Purchase price · 20% down · 7.50% / 30yr	\$450,000 → \$360,000 loan
Principal & interest	\$2,517 / month
Taxes \$4,800/yr + insurance \$1,800/yr	\$550 / month
Full payment (PITIA)	\$3,067 / month
Market rent	\$3,600 / month
DSCR = 3,600 ÷ 3,067	1.17x — workable

How to read the bands:

- **1.25x and above — strong.** The property produces real surplus; best pricing and leverage open up.
- **1.00x–1.24x — workable.** Where most DSCR loans actually close; structure matters.
- **Below 1.00x — not yet.** Rent doesn't cover the payment at these terms. Usually fixable — see section 4.

3 · What DSCR money costs right now

Broad market ranges as of July 2026, 30-year fixed structures (your quote depends on the deal — these are orientation, not an offer):

Profile	Indicative rate	Notes
Long-term rental · 65% LTV	5.80–7.50%	Lowest leverage, best pricing

Profile	Indicative rate	Notes
Long-term rental · 75% LTV	6.25–7.95%	The market's standard structure
Long-term rental · 80% LTV	6.50–8.50%	Premium files: strong DSCR + credit
Short-term rental (Airbnb/VRBO)	7.00–9.00%	History or market data required
Jumbo (\$1M+ loan)	6.75–8.75%	Case-by-case leverage

Five things set your price: **leverage** (LTV), **the ratio** (1.25x+ earns better pricing), **credit score**, **property type** (STR prices wider than long-term), and **prepayment structure** (a longer prepay penalty usually buys a lower rate).

4 · Six levers that move your ratio

- **More down payment.** The bluntest lever — every point of LTV lowers the payment.
- **Buy the rate down.** Points up front can flip a 0.97x into a 1.02x.
- **Shop taxes and insurance.** They sit inside PITIA; a \$600/yr insurance saving is ratio, not trivia.
- **Document the real rent.** Appraiser market rent vs. your lease — the higher supportable number matters.
- **Interest-only periods.** Some programs qualify on the IO payment — useful for value-add plans.
- **Longer prepay, lower rate.** If you're holding anyway, trade flexibility you don't need for ratio you do.

5 · Scaling a portfolio on DSCR

Because each loan qualifies on its own property, there's no debt-to-income ceiling stacking against you as you grow. Investors typically hold properties in an LLC (most programs lend to entities), refinance seasoned rentals to pull equity — the classic BRRRR exit — and repeat. Loan sizes run roughly \$100K to \$5M+ per property, in all fifty states.

6 · The process at Stonehaven

Step	What happens	Typical timing
Inquiry	Share the property and expected rent	Same day
DSCR check	We calculate the real ratio and issue indicative terms	1–2 days
Underwriting	Appraisal, rent verification, title — no income docs	2–3 weeks
Closing	Documents drawn, loan funds, on to the next deal	Days

7 · Documents checklist (that's really it)

- Two months' bank statements (down payment + reserves)
- Lease agreement(s), or STR history if applicable
- Insurance quote for the property
- Entity documents if vesting in an LLC
- Photo ID — and that's the file. No tax returns, no pay stubs, no employment verification.

Ready to price a deal? Reply to the email that delivered this playbook with the address and expected rent, call +1 (800) 555-0100, or book a 15-minute call at stonehavencre.com/book.html — honest answers, no obligation, no credit pull.

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